How to Use Your 5-Year Pro Forma Builder

SKU ACQ-008 · 5-YEAR PRO FORMA BUILDER

What this workbook does

5-year property-level pro forma with revenue growth, expense inflation, debt amortization, depreciation, and cumulative cash flow. Outputs IRR, equity multiple, and exit value at year 5 across three scenarios (conservative / base / aggressive). The workbook a serious operator runs before writing an offer.

The 1-year underwriting (ACQ-001) tells you whether the deal cash-flows. The 5-year pro forma tells you whether the deal makes you wealthy. They answer different questions.

First-time setup (20 min)

1. Open tab **Property + Acquisition** — purchase price, closing costs, rehab, total cash invested.
2. Tab **Y1 Inputs** — your stabilized year-1 revenue + expenses (typically pulled from ACQ-001).
3. Tab **Growth Assumptions** — annual revenue growth %, expense inflation %, market appreciation % for exit value. Pre-loaded with reasonable defaults.
4. Tab **Financing** — loan terms, amortization schedule (auto-builds 5-year debt service).
5. Tab **Exit Assumptions** — year-5 sale price (cap rate × stabilized NOI, or % appreciation from purchase), selling costs, capital gains math.

Reading the outputs

- **IRR (Internal Rate of Return):** annualized return including cash flows + exit. STR target: 15-25% IRR. Below 12% is mediocre; above 30% means you got a great deal or your assumptions are too aggressive.
- **Equity Multiple:** total dollars returned ÷ total dollars invested. STR target: 2.0-3.5× over 5 years.
- **Cumulative Cash Flow:** running total per year. Negative through year 1-2 is normal; should be solidly positive by year 3.
- **Three Scenarios:** Conservative (slow ramp, market softening), Base (your honest forecast), Aggressive (everything goes right).

When to walk

If your Conservative IRR is below 8% and your Base is below 15%, you're not buying enough margin. Walk or negotiate harder.

At offer time

Print the Pro Forma Summary tab. Send to your lender — IRR + equity multiple is the language commercial / DSCR lenders speak. Save in your deal folder as the basis for measuring actual-vs-projected over the 5-year hold.

Questions?

hello@thestrledger.com — real humans, fast replies.

Pair with: ACQ-001 STR Deal Analyzer (year-1 underwriting), ACQ-004 3-Property Side-by-Side (deal comparison), TAX-002 Single-Property P&L Tracker (year-by-year actual tracking once you close).